Table 1: Ukraine's exchange-rate and monetary regime, 2000–2013

Period	Exchange-rate level / range (UAH per USD)	Regime and practice	Major devaluation / trigger	FX and capital controls	IT / monetary policy	Euro-area counterfactual implication	Main source(s)
2000	∼5.2–5.4	Transitional phase before the IMF reclassification effective in 2001. The NBU was already managing the hryvnia closely against the dollar; the regime was not a clean float in operational terms.	—	No crisis-style intervention. Monetary policy was progressively subordinated to exchange-rate stabilization.	No IT; exchange-rate anchor.	—	IMF (2005, CR 05/415).
2001–2004	∼5.3	*Conventional pegged arrangement.* Sustained NBU intervention kept the hryvnia tightly anchored to the dollar. Ukraine had accepted Article VIII obligations, so current-account transactions were formally unrestricted; the binding constraint was the exchange-rate anchor itself.	—	No major controls. Current-account transactions freely settled under Article VIII.	No IT; dollar peg as nominal anchor.	Limited additional change under euro membership: Ukraine had already ceded effective monetary autonomy to the dollar anchor.	IMF (2003, CR 03/172); IMF (2005, CR 05/415).
2005–2006	5.05–5.30	*Conventional pegged arrangement.* The April 2005 revaluation (associated with the Orange Revolution transition) was a one-off adjustment, not a shift to a new framework. The NBU removed the mandatory sale of export FX proceeds and relaxed trading-band rules, but the peg remained the dominant anchor.	—	Partial liberalization: mandatory export-proceeds sale removed; FX trading-band restrictions eased. FX market remained thin.	No IT; peg-dominated framework.	Still limited additional change under euro membership: the main monetary constraint was the dollar anchor.	NBU (2006, *Annual Report 2005*); IMF (2007, CR 07/50).
2007	5.05	*Managed floating with no predetermined path* (AREAER label). In practice the hryvnia moved in a very narrow corridor; the regime remained operationally closer to a tightly managed peg.	—	No major control episodes. The FX market operated under a heavily managed framework.	No IT; preparatory steps only.	—	IMF (2008, end-April classification); IMF (2007, CR 07/50).
2008–2009	5.05 → 8.01	*Other managed arrangement.* The peg-centered system broke down under the global financial crisis. Heavy intervention and emergency policy measures characterized the transition.	First major devaluation. NBU USD/UAH moved from 5.0500 (1 Jan. 2008) to a peak of 8.0148 (5 Nov. 2009): **58.71% depreciation**. Trigger: global financial crisis, sudden stop, banking stress, reserve losses.	Yes. Restrictions on FX purchases, monthly transaction limits, early-withdrawal restrictions on time deposits, and temporary holding requirements before FX reconversion. Goal: slow dollarization and contain reserve losses.	No IT; crisis management.	Large counterfactual change: the exchange-rate buffer would have been unavailable under euro membership; adjustment would have shifted more toward domestic prices, wages, and output.	IMF (2009, end-April classification); IMF (2009, crisis materials); own NBU FX calculation.
2010–2012	7.89–8.01	*Stabilized arrangement.* The hryvnia returned to a tight relationship with the dollar. Post-crisis exchange-rate management was rebuilt; the IMF continued to push for deeper FX markets and removal of distortions (e.g., FX transaction tax).	—	No new emergency controls. IMF pressed for further liberalization and greater flexibility.	No IT; transition pending.	Limited to moderate change: autonomy remained materially constrained by the stabilized peg.	AREAER query; IMF (2011, program materials); IMF (2023, CR 23/399).
2013	8.00	*Stabilized arrangement,* already under visible pressure. The old anchor held through the year but required tighter administrative measures to do so.	—	Yes. November 2013: NBU extended the mandatory 50% sale of FX export proceeds and shortened the export/import settlement period from 180 to 90 days, forcing faster FX repatriation to support the hryvnia.	No IT.	Moderate counterfactual relevance: Ukraine operated under a defended anchor, not a genuine float.	NBU (2013, Nov. 19 notice); IMF (2014, AREAER 2014).

Table 2: Ukraine's exchange-rate and monetary regime, 2014–2025

Period	Exchange-rate level / range (UAH per USD)	Regime and practice	Major devaluation / trigger	FX and capital controls	IT / monetary policy	Euro-area counterfactual implication	Main source(s)
2014–2015	7.99 → 30.01	*Floating* (effective February 2014). The old anchor collapsed; the hryvnia absorbed the shock through a very large depreciation under crisis conditions. Capital and administrative restrictions introduced from early 2014 remained in place throughout, as stabilization was still fragile.	Second major devaluation. NBU USD/UAH moved from 7.9930 (1 Jan. 2014) to a peak of 30.0102 (26 Feb. 2015): **275.46% depreciation**. Trigger: Crimea annexation, Donbas conflict, severe macro-financial stress, collapse of the exchange-rate anchor.	Yes, central to stabilization. Capital and administrative controls remained throughout; the IMF monitored compliance closely.	Transition toward IT; not yet full adoption. The IMF treats February 2014 as the start of a transition period, not immediate IT.	Very large counterfactual change: the exchange-rate buffer was critical in absorbing the shock;without it, adjustment would likely have shifted more toward internal devaluation..	IMF (2014, AREAER 2014); IMF (2017, IT transition note); own NBU FX calculation.
2016–2021	23.26–28.88	*Floating.* Ukraine's most autonomous monetary period. Exchange-rate flexibility was consistent with a genuine inflation-targeting regime; the NBU tightened sharply after the 2015 depreciation and eased only once inflation returned to target. The emergency FX restrictions from 2014–2015 were gradually removed before the full-scale war.	—	Emergency measures from 2014–2015 progressively rolled back. The NBU completed most FX liberalization before 2022.	Formal IT from December 2016. Target path anchored around 5% ± 1 p.p. The NBU's behaviour changed in practice: policy rate actively used to steer inflation toward target.	Very large counterfactual change: euro membership would have replaced a genuinely autonomous national monetary framework.	NBU (IT framework); IMF (2017, IT transition note); NBU (2023, FX liberalization).
2022–Sep. 2023	27.28 → 36.57	*Stabilized arrangement / wartime peg.* The NBU fixed the rate in February 2022 and held it until 3 October 2023. The peg was backed by tight administrative controls and supported by large external financing.	Third major devaluation. NBU USD/UAH moved from 27.2782 (1 Jan. 2022) to 36.5686 (21 Jul. 2022): **34.06% depreciation**. Rate then fixed. Trigger: full-scale invasion and wartime stabilization.	Yes, extensively. Under Resolution No. 18 and Martial Law: restrictions on imports, external payments, debt service, investment-income transfers to non-residents. Multiple currency practices identified by the IMF.	IT ceased to be operative. The NBU shifted to a fixed rate backed by FX controls, with an explicit plan to return to IT once conditions permitted.	Large counterfactual change, but of a different kind: wartime sovereignty was already heavily compressed outside the euro too.	IMF (2023, CR 23/399); NBU (2023, FX strategy); own NBU FX calculation.
Oct. 2023–2025	36.57–42.40	*Transition toward greater flexibility.* The NBU exited the wartime peg on 3 October 2023, moving to a managed float. The IMF noted that the de facto classification remained stabilized pending more observations. Official strategy: ease FX restrictions, then increase exchange-rate flexibility, then return to IT.	—	Gradual easing of wartime restrictions; sequenced liberalization strategy in place.	Return path toward pre-war IT framework.	Counterfactual relevance increases as Ukraine gradually regains monetary flexibility..	IMF (2023, CR 23/399); NBU (2023, FX strategy).

Note. Exchange-rate levels are reported as representative values for pegged or stabilized periods, peak movements for the three devaluation episodes, and approximate ranges for more flexible periods. Depreciation magnitudes are computed from the official NBU USD/UAH series: 58.71% in 2008–2009, 275.46% in 2014–2015, and 34.06% in 2022.

Interpretation of monetary sovereignty. The key point is that monetary sovereignty in Ukraine was not fixed over time. There were periods where Ukraine had its own currency, but still had limited room for independent monetary policy in practice. This was the case in 2001–2004 and again in 2010–2013, when the exchange-rate anchor left little space for real autonomy. Monetary sovereignty became more meaningful when the exchange rate was allowed to move more freely, especially after 2014 and during the inflation-targeting period from 2016 onward. But that flexibility also came with a cost, since large depreciation often passed through to higher inflation. The 2022 war period was different again. Ukraine kept the hryvnia, but the peg, capital controls, and emergency restrictions sharply reduced effective autonomy.

Part B — Ukraine's inflation under euro membership

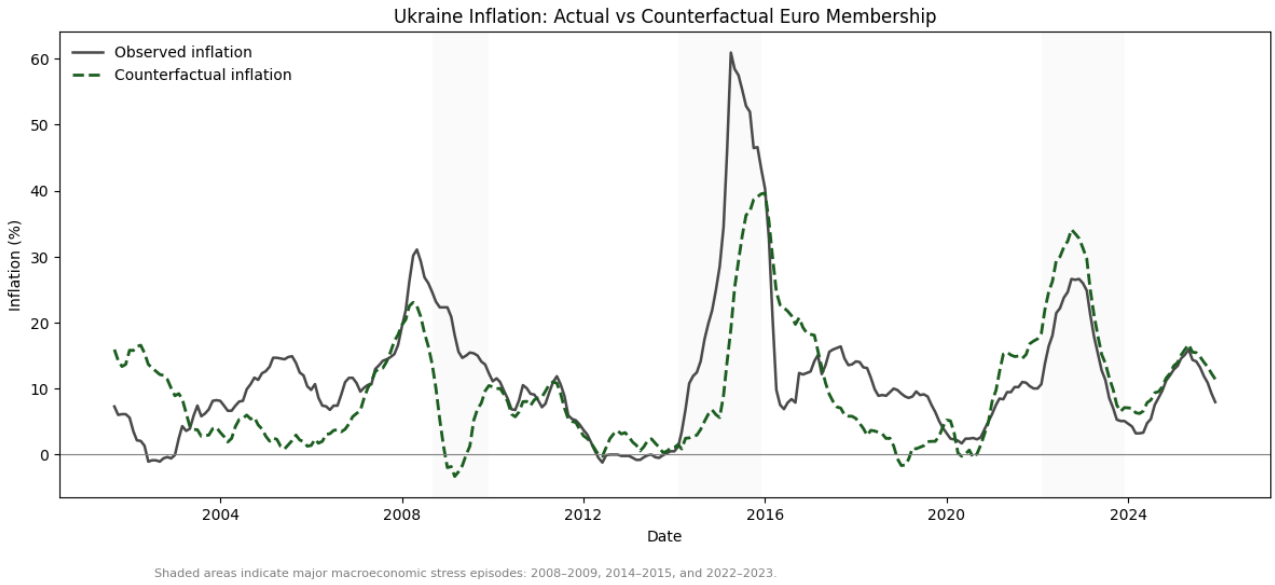

Figure 1: Ukraine observed inflation and euro-membership counterfactual paths

I estimate bivariate structural VARs for Ukraine and the Euro Area using inflation and industrial production growth. Following the Blanchard–Quah long-run restriction in the Bayoumi–Eichengreen logic, I recover structural demand shocks, assumed to have no permanent effect on output, and construct a counterfactual in which selected Ukrainian demand shocks are replaced by Euro Area shocks while Ukraine's domestic dynamics are kept unchanged. The shock replacement is regime-based: it is concentrated in the high-treatment periods identified in Part A, especially devaluation and flexible-regime episodes, while peg and stabilized periods receive a lower treatment intensity. Oil prices are included as an exogenous control. [24, 23, 20]

The counterfactual suggests that monetary sovereignty was not an unambiguous advantage for Ukraine. In 2008-2009, the hryvnia depreciation helped absorb part of the global financial crisis, but it also raised import prices, weakened confidence, and amplified inflation. Under the euro counterfactual, Ukraine would have lost this exchange-rate buffer, but the depreciation-driven inflation spiral would likely have been smaller. The same trade-off appears more sharply in 2014-2015, when Crimea, the Donbas war, capital outflows, and reserve pressure generated an extreme shock. Depreciation provided an adjustment mechanism, but at the cost of a much more severe inflationary episode.

After 2016, Ukraine gradually moved toward a more credible monetary framework, as the NBU adopted inflation targeting, used the policy rate more actively, and oriented policy toward price stability. As the NBU states, "the NBU considers Inflation Targeting as the most appropriate monetary regime for creating the environment of low and stable inflation." [12] In 2022, however, monetary autonomy became limited in practice: after the full-scale invasion, the NBU fixed the exchange rate, introduced capital controls, and restricted foreign transactions, temporarily replacing monetary flexibility with strong state intervention. [15]

A robustness check replacing Ukrainian demand shocks with Euro Area shocks at all dates produces a more extreme path, especially near the end of the sample, but preserves the main qualitative result. Overall, the relevant issue is not monetary sovereignty alone, but the credibility of the regime behind it. A national currency can be useful when supported by a credible policy framework, but costly when adjustment occurs through sharp depreciation and weak nominal anchoring. The euro counterfactual, therefore, highlights a trade-off between flexibility and credibility.

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Appendix

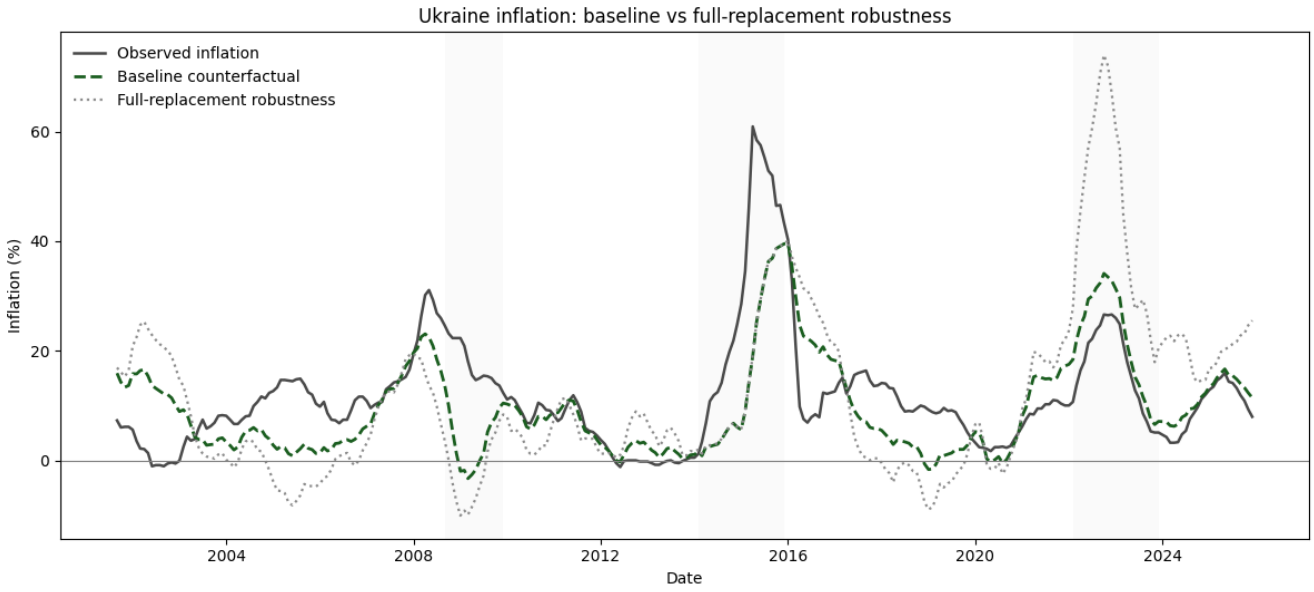

Figure 2: Robustness check: full replacement of Ukraine demand shocks by Euro Area demand shocks